STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Brett and Jodie Toughill

Of

10 Obeah Court

LYSTERFIELD VIC 3156

Prepared on:

6th September 2022

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

06/09/2022

Brett and Jodie Toughill
10 Obeah Court
LYSTERFIELD VIC 3156

Dear Brett and Jodie,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Ownership structure of current and future investments
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Brett and Jodie, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Consider appropriate superannuation contribution strategies.
- Explore options as to best use of your surplus cash.
- Place your current and future assets under the most tax effective ownership structure.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your life.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Ms
First Name	Brett	Jodie
Surname	Toughill	Toughill
Gender	M	F
Date of Birth	5/05/1963	6/12/1969
Age Last Birthday	59	52
Marital Status	Married	Married

Employment Details

Employment Status	Retired	Retired
Occupation	-	-
Employer	-	-

Estate Planning

	Brett	Jodie
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	TBA	TBA
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$3,500,000
Total Lifestyle Assets	**$3,500,000**

Investment Assets	Value
Cash	$500,000
Factory	$1,000,000
Total Investment Assets	**$1,500,000**

Superannuation Assets	
Brett	
HUB24	$195,273
Jodie	
BT Panorama	$139,676
Total Superannuation Assets	**$334,949**

Total ASSETS	**$5,334,949**

LIABILITIES

Factory Loan	$500,000
Total Liabilities	**$500,000**

NET WORTH	**$4,834,949**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Brett, based upon your responses to the Risk Profile Questionnaire, it was determined that you have a **Balanced** investor risk profile in regard to investments inside superannuation.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Jodie, based upon your responses to the Risk Profile Questionnaire, it was determined that you have a **Growth** investor risk profile in regard to investments inside superannuation.

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A 'Growth' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Also, based upon your responses to the Risk Profile Questionnaire, it was determined that you both have a **Moderately Conservative** investor risk profile in regard to investments outside of superannuation.

- The **Moderately Conservative** investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

Taxable income	***Tax on this income***
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Brett and Jodie, you currently have the following superannuation funds:

Brett

HUB24 – Account Number 24004932

- The fund currently has a balance of approximately $195,273

Jodie

BT Panorama – Account Number M04475003

- The fund currently has a balance of approximately $139,676

Superannuation Accumulation Funds

- You effectively have three options in terms of how your existing superannuation monies are structured:
  - Continue to hold these monies in your existing HUB24 and BT Super funds respectively.
  - Roll across these superannuation monies to a more 'fee friendly' actively managed wholesale 'master trust' superannuation accumulation platform.
  - Consider the option of a Self-Managed Superannuation Fund (SMSF).

Investments Within Superannuation

HUB24 Super – Account Number 24004932 (Brett)

Brett, you have a superannuation fund with HUB24 Super invested in the 'Morningstar CP Growth Portfolio' option.

The asset allocation of your HUB24 Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	14.72%
International Shares	50.61%
Property	0.88%
Other	0.54%
Fixed Interest / Bonds	18.52%
Cash	14.74%
	100%

Current HUB24 Super Portfolio Profile Compared to 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced Portfolio	Deviation
Australian Shares	14.72%	34%	**-19.28%**
International Shares	50.61%	20%	**+30.61%**
Property	0.88%	14%	**-13.12%**
Fixed Interest	18.52%	26%	**-7.48%**
Cash	14.74%	6%	**+8.74%**
Other	0.54%	0%	**+0.54%**

HUB24 Super Portfolio Historical Performance at 30/06/22:

	1 year	3 years (p.a.)	5 years (p.a.)
HUB24 Super	-3.53%	3.39%	4.50%

BT Panorama Wrap – Account Number M04475003 (Jodie)

Jodie, you have a superannuation fund with BT Super invested in the Personal Super Plan – Panorama' options:

- Cash option
- Perpetual Wholesale Australian Shares
- PIMCO Australian Bond

The asset allocation of your BT Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	6.68%
International Shares	0.62%
Property / Infrastructure	0.21%
Fixed Interest	29.84%
Cash	62.65%
	100%

Current BT Super Portfolio Profile Compared to a 'Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth Portfolio	Deviation
Australian Shares	6.68%	43%	**-36.32%**
International Shares	0.62%	25%	**-24.38%**
Property/Infrastructure	0.21%	17%	**-16.79%**
Fixed Interest	29.84%	13%	**+16.84%**
Cash	62.65%	2%	**+60.65%**
Other	0%	0%	**0%**

BT Panorama Historical Performance at 31/07/22:

	1 year	3 years (p.a.)	5 years (p.a.)
BT Panorama Wrap	-0.42%	0.65%	0.88%

Option 1 – Maintain Existing HUB 24 and BT Super Funds

Brett

You are invested in the HUB24 Morningstar CP Growth Super portfolio which isn't aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical longer term average performance associated with your existing HUB 24 Super fund is lower than alternative options.

Jodie

You are invested in BT Super's 'Wrap - Panorama' option which isn't aligned with your Investor Risk Profile.

The asset allocation of your portfolio is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical longer term average performance associated with your existing BT Super fund is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Growth' and 'Balanced' Investor Risk Profiles respectively. The specific underlying funds that make up your individual portfolios would be:

Brett:

Colonial First State Wholesale Personal Super – 'Balanced' portfolio

	% of portfolio
Pendal Wholesale Australian Share	12.00%
Colonial First State Wholesale Index Australian Share	11.00%
First Sentier Wholesale Australian Small Companies	11.0%
CFS W'sale Index Global Share	20.00%
Pendal Wholesale Property Investment	7.00%
Colonial First State Wholesale Index Property Securities	7.00%
Perpetual Wholesale Diversified Income	26.00%
FirstRate Wholesale Saver	6.00%
	100.00%

Performance of the alternative Colonial First State Balanced Portfolio at 30/06/2022:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
First Sentier Wholesale Australian Small Companies	11.00%	-11.34%	8.41%	10.48%
Schroder Wholesale Australian Equity	11.00%	1.29%	4.81%	7.49%
Realindex Wholesale Australian Share	12.0%	-0.54%	5.47%	7.87%
Colonial First State Wholesale Index Global Share	20.00%	-5.44%	7.15%	9.10%
Pendal Wholesale Property Investment	7.00%	-11.64%	-1.20%	5.05%
Ironbark Wholesale Property Securities	7.00%	-10.68%	0.28%	5.66%
FirstRate Wholesale Saver	6.00%	0.45%	0.45%	0.45%
Perpetual Wholesale Diversified Income	26.00%	-2.43%	0.77%	1.39%
	100%	**-4.43%**	**3.70%**	**5.88%**

Jodie

Colonial First State Wholesale Personal Super – 'Growth' portfolio (As per your Investor Risk Profile):

	% of portfolio
Realindex Wholesale Australian Share	15.00%
Colonial First State Wholesale Index Australian Share	14.00%
First Sentier Wholesale Australian Small Companies	14.0%
Colonial First State Wholesale Index Global Share	25.00%
Colonial First State Wholesale Index Property Securities	8.00%
First Sentier Wholesale Property Securities	9.00%
FirstRate Wholesale Saver	2.00%
Perpetual Wholesale Diversified Income	13.00%
	100.00%

Performance of the alternative Colonial First State Growth Portfolio at 31/07/2022:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share	15.00%	2.61%	6.17%	8.53%
Colonial First State Wholesale Index Australian Share	14.00%	-1.00%	4.69%	8.03%
First Sentier Wholesale Australian Small Companies	14.0%	-6.64%	9.43%	12.17%
Colonial First State Wholesale Index Global Share	25.00%	-4.32%	8.07%	10.44%
Colonial First State Wholesale Index Property Securities	8.00%	-1.91%	0.18%	5.96%
First Sentier Wholesale Property Securities	9.00%	-0.88%	2.05%	6.80%
FirstRate Wholesale Saver	2.00%	0.45%	0.45%	0.45%
Perpetual Wholesale Diversified Income	13.00%	-2.01%	0.79%	1.37%
	100%	**-2.24%**	**5.23%**	**7.99%**

Performance of the alternative Colonial First State Conservative Portfolio at 31/07/2022:
**to be compared with current BT Panorama Wrap portfolio (conservative)*

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share	5.00%	2.61%	6.17%	8.53%
Colonial First State Wholesale Index Australian Share	4.00%	-1.00%	4.69%	8.03%
First Sentier Wholesale Australian Small Companies	4.0%	-6.64%	9.43%	12.17%
Colonial First State Wholesale Index Global Share	8.00%	-4.32%	8.07%	10.44%
Colonial First State Wholesale Index Property Securities	2.50%	-1.91%	0.18%	5.96%
First Sentier Wholesale Property Securities	2.50%	-0.88%	2.05%	6.80%
FirstRate Wholesale Saver	24.00%	0.45%	0.45%	0.45%
Perpetual Wholesale Diversified Income	50.00%	-2.01%	0.79%	1.37%
	100.00%	**-1.49%**	**2.08%**	**3.18%**

Benefits:

- The alternative portfolios have outperformed your current funds over the longer term.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Brett

Type of Fee or Cost	HUB24 Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.50% p.a. + $180 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	1.10%	$1,200 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.45% p.a.	0.79% p.a.
Annual average cost – Total $195,273 investment	**$4,183 p.a.**	**$2,743 p.a.**

Outcomes Post Implementation - Brett:

- Brett, the sum of your total ongoing management and administration fees will **decrease** by proximately **$1,440 PER ANNUM**.
- The Colonial First State Wholesale '**Balanced**' portfolio has **outperformed** your fund over the past 5 years by an average of **1.38%** p.a. Based on your current balance, **this equates to $2,695 p.a. ($13,474 over a 5-year period).**

Jodie

Type of Fee or Cost	BT Super	BT Super (Growth Portfolio)	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil
Trustee Fee – is a payment for services rendered by the superfund	0.0839% p.a.	0.0839% p.a.	
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.75% p.a. (cash component not incl)	Admin. Fee 0.75% p.a. (cash component not incl)	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil	$1,200 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.15% p.a.	0.91% p.a.	0.63% p.a.
Annual average cost - Total $139,676 investment	**$484 p.a.**	**$2,410 p.a.**	**$2,080 p.a.**

Outcomes Post Implementation - Jodie:

- Jodie, the sum of your total ongoing management and administration fees will **increase** by proximately **$1,596 PER ANNUM**. However, if you were invested in a BT 'Growth' portfolio rather than a BT 'Conservative' portfolio your fees would **decrease** by approximately **$330 PER ANNUM**
- The Colonial First State Wholesale '**Conservative**' portfolio has **outperformed** your current fund over the past 5 years by an average of **2.30%** p.a. Based on your current balance, **this equates to $3,213 p.a. ($16,063 over a 5-year period).**
- The Colonial First State Wholesale '**Growth**' portfolio has **outperformed** your current fund over the past 5 years by an average of **7.11%** p.a. Based on your current balance, **this equates to $9,931 p.a. ($49,655 over a 5-year period).**

Option 3 – Self-Managed Superannuation Fund (SMSF)

Benefits:

- Flexibility and control of your investment decisions
- The ability to purchase investment assets that cannot be purchased via other types of superannuation funds (e.g. direct property).
- The ability to borrow to invest.

Downsides:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.
- As trustee of an SMSF, there are many obligations that you must understand as there may be significant penalties applied should these obligations be breached.

Self-Managed Superannuation Fund (SMSF) Vs Master Trust

SMSF

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee or director of the corporate trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are over 18 years of age, not under a legal disability and have not been disqualified*, you are eligible to be a trustee.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (ie yourself as sole director of a corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number.
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principle piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.
5. Manage your funds' investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee, you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.
6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.
Accordingly, it is vital that you understand and conduct your obligations as trustees of the fund to the utmost of your abilities.

Advantages of having an SMSF:

- Flexibility and control of your investment decisions
- The ability to purchase property and assets that are used as an investment, and owned by the SMSF.

Disadvantages of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

Superannuation Master Trusts

A superannuation master trust is a superannuation structure that allows an investor to hold a portfolio of managed funds under the one umbrella. It provides centralised reporting and is often used by financial advisers as a convenient and simple way to manage their client's portfolio.

Master trusts typically have the following features:

- Investments are held by a trustee in its name, on behalf of the investor
- The value of an investor's account is determined by the trustee based on the value of the underlying investments
- All fees and some taxes are bundled into the unit price for each investment and allocated to the investor
- Income from the underlying assets is paid to the master trust and then distributed to members
- Franking credits are incorporated into the unit price of the underlying investment

Benefits:

- Master trusts are beneficial for those who have a large sum of money to invest and want the convenience of one report for multiple investments.
- Access to wholesale funds - You can access a wide range of wholesale funds that you may not be able to access individually.
- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.
- You will receive consolidated reporting on performance.

Risks:

- The performance of the investments within a master trust is subject to the performance of the market in which they are invested.

Superannuation Fund Costs

A guide to the fee structure under a SMSF is as follows:

Type of Fee or Cost	SMSF (Self-Managed Super Fund) p.a.
One-off set up cost of SMSF	$3,000+GST
Annual Accounting Fees and Audit (estimated)	$2,500+GST
One-off Bare Trust set up cost (at time of borrowing)	$2,500+GST

Whilst an SMSF may prove costly to set up, additional benefits may be obtained such as tax minimisation and the ability to borrow to invest within the superannuation environment.

Self-Managed Superannuation Funds – Key Considerations

The Role a Trust Deed Plays in a SMSF.

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day-to-day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can't do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Brett and Jodie, as the trustees of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm's-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)
- contribution acceptance standards
- benefit payment standards.

**A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for*

any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non-statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.
The fund's investments may include:

- direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
- property trusts and associated investments, direct residential, industrial or commercial property investment
- managed investments and associated products
- bank and other financial institution securities including term deposits and debentures
- secured and unsecured notes and bonds
- any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Example SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)

- To enhance the value of the members savings, and
- To achieve a long-term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5 year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)

- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	40% - 45%	43%
International shares	22% – 27%	25%
Property	15% - 20%	17%
Fixed interest	10% - 15%	13%
Cash	0% - 5%	2%

These ranges are purely indicative and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments, and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

Borrowing to invest in Property in a SMSF

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire.

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

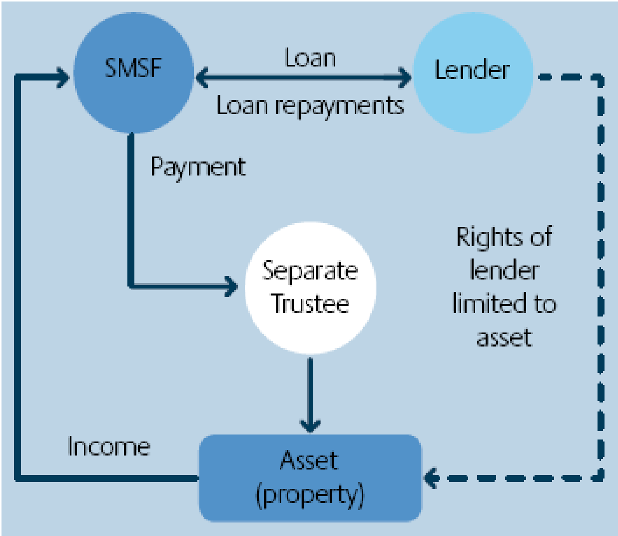
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 70% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

Structure of Existing Factory

- Brett and Jodie, you have sold your Elite Garages business, however you have retained ownership of the factory that this business operates from.
- This factory is owned in your names and is valued at approximately $1.0m.
- The factory has debt of $500k and generates rental income of $49k p.a.
- You seek advice in terms of the most appropriate structure for this factory moving forward.
- The options available to you are as follows:
    A. Retain the factory under the current structure and continue to receive rental income in your own names.
    B. Transfer ownership of the factory into superannuation.
    C. Sell the factory and extinguish the debt
        - Invest the net sale proceeds

Recommendation:

- Transfer ownership of the factory into superannuation.

Basis of Recommendation:

- You will be retaining an investment asset that has achieved capital growth of approximately 78% over a four-year period.
- You will be retaining an investment asset that is achieving a yield of 4.90% p.a.
- Superannuation is the most tax effective ownership structure.
- Future Capital Gains will be taxed at a maximum of 10% and a minimum of 0%.
- Future rental income will flow into a more tax effective structure.

Key Considerations:

- In order to move the factory into superannuation, a SMSF would need to be established in the first instance.

Option 1 – Stamp Duty free transfer

- In order to transfer the factory into the SMSF without incurring Stamp Duty, the property must be unencumbered and there cannot be any cash consideration. Therefore, the following high-level process would need to be undertaken:

   - The existing debt would need to be extinguished (the $500k currently held from the sale of your business could be used for this purpose).
   - A property valuation is to be obtained.
   - The property could then be contributed into the SMSF via 'in specie' contributions within the superannuation contribution caps previously detailed.
   - Non-concessional contributions (including draw forward provisions) and Concessional Contributions including catch up (carry forward) provisions may be utilised.
   - Should the value of the property exceed all contributions limits available, the addition of a third member to the SMSF should be considered in order to avail of that third member's contribution limits.
     - Such a member may take the form of a parent or a child.

Option 2 – Incur Stamp Duty on the transfer (estimated to be $55,000)

- Rather than transfer the factory into superannuation via 'in specie; contributions, the SMSF could borrow to purchase the factory from yourselves. In this instance, Stamp Duty would be payable upon the transfer. The following high-level process would need to be undertaken:
   - The SMSF would enter into a Limited Recourse Borrowing Arrangement to secure funds for the purchase (see previous section within this Statement of Advice).
   - These funds would be used to purchase the factory from yourselves, the proceeds from which you would use to extinguish the existing loan.

Capital Gains Tax (CGT) on Potential Factory Transfer

Any transfer of the factory from your names to the SMSF will trigger a Capital Gain. Assuming a transfer price of $1.0m and a cost base of $560k, the Capital Gain is calculated to be $440k.

As you have held the property for greater than 12 months, you are eligible for a 50% discount on the assessable gain. This would therefore reduce the assessable gain to $220k. If the factory is owned in joint names, each of you would have a $110k assessable gain.

Furthermore, as the factory was utilised by your business for at least 50% of the time that you have owned the property, you are entitled to a further CGT concession known as the Small Business Retirement Concession. This is outlined on the following page:

Small Business Retirement Concession

- Sec 152- D of *Income Tax Assessment Act 1997* governs the laws and regulations relating to the application of CGT which states that you can choose to disregard a capital gain from a CGT event if the capital proceeds from the event are used in connection to your retirement (although it is not necessary to actually retire).

- Where you are less than 55 years old (i.e. Jodie), then the amount must be contributed to superannuation; and
    - The exempt amount must not exceed the $500k CGT retirement exemption.

As a result, you can disregard the entire amount of the capital gain and this amount is considered to be the "CGT exempt amount".

In this case, Jodie would need to make a $110k contribution to superannuation.

Brett, you could also make a $110k contribution, however you are not obliged to do so as you are over 55 years of age.

Capital Gains Tax (CGT) on Recent Business Sale

We note that you will be receiving advice directly from Longboard Accountants in terms of the CGT implications of the business sale.

At this stage, Longboard Accountants have advised that they will not be providing this advice until they prepare your 2022 tax returns.

We have therefore not addressed the Small Business Exemption concessions that may be available to you, as Longboard Accountants have advised they will be undertaking this piece of work.

Please note that, depending on the concessions used, we would expect the business sale to be CGT free with the possibility of mandatory superannuation contributions.

Concessional Superannuation Contributions Carry Forward

Brett and Jodie, the concessional superannuation contribution cap in previous years was $25,000 per annum. In the 2021/22 financial year, this cap increased to $27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
  - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
  - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

- **Brett**, the following concessional contributions have been made in recent years:

Financial Year	Brett	Total Allowable Contributions
2018/19	$9,750	$25,000
2019/20	$13,000	$25,000
2020/21	$26,750	$25,000
2021/22	$28,000	$27,500
2022/23	$0	$27,500
TOTAL	**$77,500**	**$130,000**

- Brett, you therefore have a total of **$52,500** in concessional 'carry forward' contributions available to you in the 2022/23 financial year.

- **Jodie**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Jodie	Total Allowable Contributions
2018/19	$4,875	$25,000
2019/20	$23,125	$25,000
2020/21	$43,500	$25,000
2021/22	$27,750	$27,500
2022/23	$0	$27,500
TOTAL	**$99,250**	**$130,000**

- You therefore have a total of **$30,750** in concessional carry forward' contributions available to you in the 2022/23 financial year.

Recommendation:

- **Brett and Jodie**, as your respective superannuation balances are less than $500,000 you are eligible to make 'catch up' concessional contributions.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to your respected tax brackets for the 2022/23 financial year.

Investments Currently Outside of Superannuation

- Brett and Jodie, you currently have the following surplus funds from the sale of your business:

Cash	$500,000

- You seek advice with respect to the best use of these funds.

Recommendation:

- Based on our previous recommendations to retain the factory and transfer the ownership of the factory into superannuation, we recommend that these funds be utilised to either:

A. Extinguish existing factory debt:

Pay down the existing debt of $500,000 on the factory using the $500,000 in surplus cash.

B. Make non-concessional contributions into superannuation within the contribution caps previously detailed.

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation – Pension Phase and Retirement Income Streams

Brett, you are 59 years of age and have reached preservation age. Jodie, you are currently 52 and do not reach preservation age until age 60.

On or after preservation age, you have the ability to convert superannuation monies to 'pension phase' and draw down an income stream. From age 60, all income received from this income stream is tax free.

If retired (and/or over age 65), all income earnt from the amount funding the income stream is also tax free, as opposed to being taxed at 15% when in accumulation phase.

Recommendations:

- Brett, consider moving your superannuation from 'accumulation' to 'pension' phase, and commence an income stream to supplement living costs.
- Jodie, you do not reach preservation age (60) for another 8 years, therefore you are required to remain in 'accumulation phase' for this period.

Reasons:

From age 60:

- Your superannuation fund will no longer incur 15% tax on earnings within the fund.
- You will receive a regular 'tax free' income stream to satisfy your cash flow needs.

For Consideration:

- The minimum income stream that must be drawn from any Allocated Pension is:

Age	Under 65	65-74	75-79	80-84	85-89	90-94	95+
Reduced percentage factor (2021-22 and 2022-23 financial years)	2%	2.5%	3%	3.5%	4.5%	5.5%	7%
Standard percentage (other years)	4%	5%	6%	7%	9%	11%	14%

Investment Structures & Associated Retirement Projections:

Assumptions:

- 15-year projections.
- Superannuation capital increases by 6.0% p.a.
- Capital value of factory increases by 7.0% p.a.
- Factory generating 4.90% p.a. income.
- Interest only repayments on factory debt.
- Factory sold at Year 10.
- Residential Property increases at 5.0% p.a.
- An income stream of $100k per annum will be commenced to supplement living costs.

Total Super and Investment Capital as at this point is as follows.

Total Super Capital (Net Retirement Capital):	$334,949
Net Factory Capital:	$500,000
Net Residential Property Capital	$3,500,000
Total Net Retirement Capital:	**$834,949**

Scenario 1:

- Retain current position.
- Factory remains outside of superannuation.
- $100k p.a. is drawn down to supplement living expenses
- $500k outside of superannuation used for living expenses before income stream commences.

	After 15 Years
Total Super Capital:	$245,339
Net Factory Proceeds Capital	$1,467,615
Net Residential Property Capital:	$6,929,761
Total Net Retirement Assets:	**$1,712,955**

Scenario 2:

- Factory Remains outside of superannuation.
- $500,000 in surplus cash is contributed into superannuation.
- $100k p.a. is drawn down to supplement living expenses.

	After 15 Years
Total Super Capital:	$589,754
Net Factory Proceeds Capital	$1,467,615
Net Residential Property Capital:	$6,929,761
Total Net Retirement Assets:	**$2,057,368**

Scenario 3A:

- Factory is moved into superannuation via in specie contributions.
- $500k surplus cash is used to pay down debt.
- $100k p.a. is drawn down to supplement living expenses.

	After 15 Years
Total Super Capital:	$1,869,575
Net Factory Capital	-
Net Residential Property Capital:	**$6,929,761**
Total Net Retirement Assets:	**$1,869,575**

Scenario 3B:

- Factory is moved into superannuation via borrowing in super.
- $500k sale proceeds from factory are invested in managed funds.
- $100k p.a. is drawn down to supplement living expenses.

	After 15 Years
Total Super Capital:	$1,745,225
Net Factory Proceeds Capital:	-
Net Residential Property Capital:	**$6,929,761**
Total Net Retirement Assets:	**$1,745,225**

Scenario 4:

- Factory is sold and proceeds are contributed into superannuation within contribution limits.
- Excess cash is invested into a managed fund investment earning 6.0% p.a.
- Drawdown of $100k p.a. to supplement living expenses.

	After 15 Years
Total Super Capital:	$973,775
Net Factory Capital	-
Net Residential Property Capital:	$6,929,761
Total Net Retirement Assets:	**$973,775**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

Based on these Superannuation Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital

After 15 Years:

Scenario	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
1	$1,712,955	$100,000	5.84%
		$130,000	7.59%
		$160,000	9.34%
2	$2,057,368	$100,000	4.86%
		$130,000	6.32%
		$160,000	7.78%
3A	**$1,869,575**	**$100,000**	**5.35%**
		$130,000	**6.95%**
		$160,000	**8.56%**
3B	$1,745,225	$100,000	5.73%
		$130,000	7.45%
		$160,000	9.17%
4	$973,775	$100,000	10.27%
		$130,000	13.35%
		$160,000	16.43%

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $3,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of $1,200 p.a. will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections

Appendix C – Self Managed Super Funds – Role & Responsibilities of Trustees

Refer to the attached guide – 'Running a self-managed super fund - Your role and responsibilities as a trustee'.